

PATH pitch deck

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PITCH — PATH — VERDICT

ADJUDICATED 2026-08-07 — NO ENTRY. Fairly priced, no special edge, and no fill at \$14.06 (1.3% under the six-month high, +37% in ten sessions, into an unconfirmed print); two alert gates armed, both reopen conditions dated.

What we believe

UiPath is a decent business that is not growing, priced roughly for what it is.

Three things are true at once, and the argument only works if you hold all three:

- 1. The advertised turn is mostly bought, not earned.** The number that got the stock re-rated on 2026-05-29 was “net new annual recurring revenue up 81% year over year, \$27M → \$49M.” A \$190M acquisition (WorkFusion, closed 2026-02-05) landed five days into that quarter and its revenue is folded into the same total, with no organic/inorganic split disclosed anywhere. Our two benches converged independently on WorkFusion contributing **\$16–26M of that, most likely \$19–22M**. Strip it out and organic net new was roughly **\$28M against \$26.6M** — up about 5%, not 81%.
- 2. But the company is not breaking either.** The strongest version of the bear case — “no new customers for three years, the business is dead” — did not survive checking. Customers paying over \$1M/year grew **18%** and accelerated; customers over \$100k grew 11%; the company keeps **97 cents of every dollar** of last year's revenue before any upsell. What's leaving is the small tail, and it's worth about 1.7% of revenue. The balance sheet is \$1,415M of cash and securities against **zero debt**, share count is **down 4.5%** because the buyback exceeds stock compensation, and free cash flow was \$372M last year.
- 3. We have no informational advantage at this price.** The market already paid for the inflection story — +11.8% on the print day, on 58.7M shares. Then it round-tripped the whole thing to \$9.93 by late June, broke 16% on two enormous-volume days in late July, and melted +38% in nine sessions back to \$14.09 with **no company disclosure explaining any of it**. As of 2026-08-21 it is \$15.92 — another 13% higher, 4.6% under the six-month high, and 73% above the May low.

So: a fairly-priced, fairly-run, non-growing software company, in the middle of a flow-driven move we cannot explain, thirteen days ahead of a print whose date we haven't confirmed. That is a name to watch, not a name to own.

What the market believes

The market's working story, as best we can read it off the tape and the guide:

- **Bull version:** retention bottomed at 107 and turned up to 109, net new revenue nearly doubled, the founder-CEO's cost turnaround produced the first profitable year, and the company is being repriced from "melting RPA vendor" to "profitable orchestration layer for other people's AI agents." At \$15.92 that's roughly **3.6× enterprise value to recurring revenue** and a ~5.4% free-cash-flow yield — cheap for software if growth is about to resume.
- **Bear version, also in the price:** the stock is still 20% below its 52-week high, and the multiple sits at a fraction of profitable-growth software because the market does not believe the growth line. Management guides the next quarter to **+9.8% revenue against +17.3% just delivered**, with operating profit down 18% sequentially.

The market is not confused about the facts. It is undecided about whether the June-quarter step was real. That is exactly the question the 2026-09-03 print answers — which is why buying ahead of it is paying for an answer we're about to get for free.

Why we might have edge

Four places where we know something the tape plausibly doesn't:

1. **The acquisition arithmetic.** UiPath's own definition of recurring revenue contains no carve-out for acquired contracts, and the word "organic" appears **zero times** in the Q1 press release. We bounded WorkFusion four independent ways and got the same answer each time. The break-even for the 81% to be organic is paying **more than 9× recurring revenue** for a distressed 2011-vintage vendor — while UiPath's own stock trades near 3×. Sell-side has not published this split because the company hasn't given them one.
2. **The distress evidence on the acquired asset**, from records nobody screens: WorkFusion's UK accounts show its share fair value falling \$0.91 → \$0.58 through 2024, a going-concern discussion citing a cost-reduction exercise and reliance on debt "to be raised in the near future," and a funding pattern of \$60.0M (2021) → **\$8.8M from a single investor** (2022) → \$15.4M (2025).
3. **The purchase-price allocation reads like a technology-and-team purchase, not a revenue book.** Developed technology (\$44.5M) exceeds customer relationships (\$39.8M) — a book bought for its recurring revenue allocates the other way — and 17% of the price (\$32.3M) is a deferred tax asset, i.e. accumulated losses.

4. **Nobody has ever asked.** Across nine earnings calls, no analyst has pressed management on the flat customer count, and management has never once used the words “invoicing,” “billing terms,” “upfront,” “prepaid,” or “unbilled” despite a five-quarter shift in exactly that mix. That’s an unexamined flank — but note it cuts both ways, and it is a disclosure-quality observation, not a thesis.

Why it might be priced in

Bluntly: most of it is, and the honest reading is that our edge is analytical, not actionable.

- **The step-up was pre-announced.** The Q1 revenue guide was issued **2026-03-11, five weeks after WorkFusion closed** — with the acquisition already inside the guided number. The actual beat that guide by only ~\$4.5M. There was never an acquisition-driven surprise for the market to mis-pay for.
- **The acquisition spend was on the face of the press release**, day one: “Payments related to business acquisitions, net of cash acquired **(149,403)**” versus (24,821) a year earlier. Anyone reading the release saw \$149.4M of M&A before the detailed filing landed a week later.
- **The tape already paid, then unpaid, then repaid.** The +11.8% re-rate on 2026-05-29 was the market pricing this exact inflection. Whatever it was worth, it was transacted.
- **The valuation is not distressed.** ~3.6× recurring revenue and ~16× guided operating profit on a company guiding ~10-11% growth is not obviously wrong in either direction. This is the definition of “priced.”
- **We are late to the move.** +38% in nine sessions before the court, another 13% since, into a print. Every unit of our analysis says “fairly valued”; the tape says “someone with more conviction than us is already buying.”

What we checked ourselves

Our two benches disagreed sharply, and the adjudication went partly against **both**. Where a bench was wrong, it’s listed here as a bench error, not smoothed over.

Claim	How checked	Found	Confirmed?
Net new recurring revenue +81% (\$27M → \$49M)	Both quarters’ earnings exhibits	Arithmetically true	YES (but see next row)
...and that 81% is organic	Company never claims it; four independent bounds on WorkFusion’s contribution	\$16–26M, central \$19–22M; organic ≈ \$28M vs \$26.6M, roughly +5%	NO — the headline is overwhelmingly acquired
Retention “inflected” 107 → 109	Six quarters of exhibits	True, but 122 → 109 over three years, and 109 is measured off a 108 that was the worst reading in company history	MISFRAMED, not false

Claim	How checked	Found	Confirmed?
“Three years, net –53 customers — the land motion is dead” (our red bench)	Blue re-ran it in dollars using the Q1 call	RED WAS WRONG. Counting logos in a business that doesn’t sell logos weighs a \$5k account equal to a \$1M one. In dollars: 97% gross retention, ≥\$1M customers +18% and accelerating, ≥\$100k +11%. Departing logos replaced at ~1.40× their revenue	OVERTURNED — our own bench made the exact error it accused the screen of
“The company’s own guide says growth stops immediately (–2.3% next quarter)” (our red bench)	Blue compared like to like	RED WAS WRONG — it compared a forecast to an actual. Guide-to-guide, next-quarter net new is guided + 24.5% , full-year + 32.6% . The company has beaten its own next-quarter number in 7 of the last 8 quarters , by a metronomic \$4.5–8.5M, 5 for 5 since the March-2025 reset	OVERTURNED
“There’s a one-week window between the headline and the filing that sizes the acquisition — exploitable, recurs quarterly” (our red bench)	Checked guide dates and the release’s own cash-flow statement	REFUTED on both halves (guide predated by five weeks; spend disclosed day one). This mechanism was proposed for the knowledge graph and must not be encoded	NO — do not encode
Backlog is deteriorating: invoiced backlog –2.1% (our red bench)	Five quarters of the backlog note, decomposed	Observation real, conclusion wrong. Near-dated backlog + 16.6% (company says +17%); the decline is entirely the end of beyond-12-month prepayment (non-current deferred revenue –39%, current +7.8%); the receivables “corroboration” is the <i>same datum counted twice</i> , and the seasonal drop was the second-smallest of four years; quarterly free cash flow + 11.2%	WEAKENED — no cash deterioration
Backlog shift = healthy lengthening contracts (our blue bench’s assigned steelman)	Share recognisable within 12 months, five quarters	BLUE’S OWN STEELMAN FAILED and blue said so. That share went 62→63→65→66→64%; implied term <i>shortened</i> 1.59y → 1.56y; the unbilled book scaled uniformly — a billing-terms change, not duration	NO — conceded against itself
Red’s worst-case scenario: organic net new was – \$13M	Blue tested it against the retention math red itself supplied	IMPOSSIBLE. Surviving-customer revenue is \$1,693M × 1.09 = \$1,845.4M against \$1,901.2M total, so everything landed <i>or acquired</i> in twelve months is \$55.8M. Red’s \$61M scenario exceeds the entire pool	NO — red’s own datum bounded its worst case out of existence
Revenue +17.3% shows demand	Revenue policy + next-quarter guide	Licences are recognised at delivery, so revenue tracks contract timing, not run-rate; guided to +9.8% next quarter with profit down sequentially	NO — not a run-rate
Cash burn / dilution are risks	Balance sheet, equity statement	Both false, and red conceded them: \$1,415M cash, zero debt, \$372M free cash flow; shares 548.5M → 523.6M, –4.5%	NO — these favour the long

Claim	How checked	Found	Confirmed?
Litigation is resolved	Quarterly legal note	Both matters live: the 2023 securities case (which alleged misstatements about UiPath’s competitive position) was dismissed 2025-10-02 but is on appeal to the Second Circuit since 2026-02-09 ; the derivative suit’s dismissal motion has been pending since 2026-02-19	NO — open
“No SEC filing of any kind since the 8-K of 2026-06-29” (our red bench , 2026-08-07)	The evidence pack’s filing index	Literally false as written — a 13G/A was filed 2026-07-15, before the court sat. Red’s <i>substantive</i> point stands: no company disclosure explains the July break or the August melt-up. But the sentence was overclaimed	PARTLY — overclaimed
Q1 net new was \$48.2M	Compared the benches	Red used \$48.2M (ARR difference), blue used \$48.6M. Both round to the company’s “\$49M”; we never reconciled the \$0.4M . Immaterial to every ruling, but unreconciled	UNRECONCILED
Third-party competitive/market-share evidence	Attempted	Red exhausted its search budget and disclosed it. So the entire “value is migrating to partners” argument rests only on UiPath’s own words — real, but one-sided	NOT CHECKED — disclosed limitation
The transcript figures blue relied on	Cross-checked against the company’s own transcript PDF and our own backlog arithmetic	A widely-syndicated machine transcript mis-prints near-dated backlog as \$988M ; the correct figure is \$908M, which our own arithmetic reproduces at \$904.4M. Blue caught this before relying on it	YES — caught
Valuation at the court price	Our own arithmetic, share count derived from the 2026-06-29 annual-meeting 8-K vote counts (~456M Class A + 64.7M Class B ≈ 520.7M shares)	At \$14.06: ~\$7.32B market value – \$1,415M net cash = \$5.91B enterprise value = 3.11× recurring revenue , matching red’s independently-derived 3.11×. At today’s \$15.92: 3.62×	YES — but note the share count is derived from vote arithmetic, not a cover-page count

One structural point we believe but cannot prove: UiPath’s own filings describe a company moving up-stack into a thin orchestration layer, dependent on partners who each ship a competing agent — including “Gemini will become the default third-party model for new document-extraction projects,” which hands the intelligence in a former high-value attach product to Google. It has relabelled its own category three times in three years, and in filed exhibits eight weeks apart went from “a global leader in agentic automation” to “a global leader in business orchestration and automaton” [the typo is in the filed document]. Governance offers no correction mechanism: Class B carries 35 votes per share, ~83% of voting power, and the CEO is also Executive Chairman. **We have not verified competitive displacement quantitatively and are not asserting it.**

PROPOSED ENTRY BANDS

The courts say no entry. These are the reopen conditions, verbatim from the adjudication — not our own invention.

No fill at \$14.06. No position is held and no orders are working. The stock is \$15.92 as of 2026-08-21, which is *worse* for entry than when the courts sat: the enterprise value has gone from 3.11× to **3.62×** recurring revenue, +16% of multiple, on no disclosure.

Reopen condition 1 — the print (both parts required, not either): - Date: **2026-09-03** (estimated; see the confirmation caveat below). - **Net new recurring revenue $\geq$ \$36M.** This is not a round number — it is blue's own post-reset beat arithmetic: the company has beaten its next-quarter number by \$4.5–8.5M in five straight quarters, and the mean post-reset beat applied to the \$30.3–30.5M guided midpoint lands at **\$36.4M**. Clearing \$36M means the beat metronome held *and* the level is up ~17% year over year. - **AND any organic disclosure** — a stated organic/inorganic split, a WorkFusion contribution figure, or the word “organic” appearing at all. With WorkFusion bounded at $\leq$ **\$26M**, a clean \$36M with a disclosed split is the first evidence of a real inflection rather than a purchased one. - Both clear → **re-court the inflection thesis from scratch**. Clearing them does not authorise a buy; it authorises the work. - Secondary confirmation from red's own flip condition: full-year recurring revenue guidance raised toward **\$2.09B or above** (blue's beat-pattern projection lands at \$2.091B).

Reopen condition 2 — the price: - $\leq$ **\$12.75** → **alert plus cause-check**. This is the first rung of blue's ladder: an alert and a reason-hunt, *not* a bid. \$12.75 is roughly 2.75× recurring revenue on our own enterprise-value math and ~7.1% free-cash-flow yield — the level where the fairly-priced conclusion stops holding. The cause-check exists because in July this stock fell 16% in two sessions on 4× volume with no filing to explain it; a price alone tells us nothing.

Adds, exits, trims: none. There is nothing to add to and nothing to exit.

Sizing: the benches produced no size, and neither did the adjudication. We are not inventing one. The binding constraint is recorded, though: this was adjudicated as **fairly-priced risk with no edge overlay** — which means no premium is payable over fair value, and any future size must come out of a re-court that establishes what fair value is at that time, not out of this deck.

Catalyst dates:

Date	What	Confirmed?
2026-09-03	Q2 FY27 results (the reopen print)	NO — derived from a data vendor, not a company announcement
Pending, no date	Second Circuit ruling on the appealed securities case	No
Pending since 2026-02-19	Ruling on the dismissal motion in the derivative suit	No

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 12.75 (deck-provisional: Court gate: alert + cause-check only, no bid; ~2.75x EV/ARR, the level where the fairly-priced conclus)
- filing watch: 8-K until 2027-02-16 (deck-provisional: Q2 FY27 results exhibit: net-new ARR vs the \$36M gate, FY27 ARR guide vs \$2.09B, and whether any organ)
- dated pack PATH|2026-09-03: PATH Q2 FY27: HIT = net-new ARR >= \$36M with WorkFusion bounded <= \$26M. RESOLVE: python3 -m desk.calibration resolve PATH FAVORABLE|UNFAVOR

What remains unverified

- **WorkFusion's actual recurring-revenue contribution.** Never disclosed. Our \$16–26M band is four convergent inferences, not a fact. Purchase accounting is still provisional, and the \$39.8M customer-relationship figure both benches used is **derived from a gross intangibles rollforward** — the acquisition note itself doesn't break it out.
- **Whether competitive displacement is actually happening, and by whom.** Red's search budget ran out before it could pull a single third-party competitive datum, and it said so. The entire "value migrating to partners" case is built from UiPath's own words. Whether Microsoft, open-source agent frameworks, or nothing at all is the cause: **unknown**.
- **Why the stock did what it did.** No company disclosure explains the –16% two-day break in late July or the +38% nine-session melt-up into the court, or the further +13% since. We are calling it flow and narrative because we can't find anything else — that is a confession, not a finding.
- **What management thinks about the billing-mix shift.** They have never addressed it in four calls and deflected twice. Both red's and blue's explanations of it are **analyst inventions**; neither is management's.
- **Whether the shrinking customer count is deliberate.** Blue found no management statement about shifting small customers to partners or raising minimum deal sizes — the small accounts appear to be leaving on their own. But the FY26 annual report quietly **deleted** its small-business coverage bullet rather than announcing a change. Passive mix or unannounced retreat: unresolved.
- **Federal exposure.** No direct prime contracts; everything flows through resellers, gross award value roughly \$167M across five years, of which UiPath's cut is a fraction. UiPath discloses no federal revenue. Bounded small, but a low visible total is not proof of a small book.
- **The next-quarter print date.** Vendor-derived. Unconfirmed.
- **The \$0.4M discrepancy** between our two benches' Q1 net-new figures (\$48.2M vs \$48.6M). Immaterial, still unreconciled.

Primary source for the filing facts above: the Q1 FY27 quarterly report, <https://www.sec.gov/Archives/edgar/data/1734722/000173472226000041/path-20260430.htm> — and the annual-meeting 8-K in the evidence pack, <https://www.sec.gov/Archives/edgar/data/1734722/000173472226000043/> (dual-class vote counts, from which the share count in the valuation row is derived).

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